Missing the target: On the economy, the Centre's growth target

Despite missing the growth target, the economy remains strong

India's industrial production growth slowed to a six-month low in February to 2.9%, down from January's 5.2% (revised estimates) and almost **halved** from last February's 5.6%. This decline was **broad-based**, except for a **marginal** rise in power production of 3.6%, up from January's 3.4%, but less than half of last February's 7.6%. While mining **witnessed** the steepest decline to 1.6% this February, from 8.1% last year, manufacturing almost halved to 2.9%, from 4.9% last year. From a use-based classification, the steep **decline** in **consumer durables** output to 3.8%, from 12.6% last February as well as a production **contraction** for the third month **in a row**, of **consumer non-durables** by 2.1% (there was a 3.2% contraction in January), **indicates** a **marked** decline in overall consumption demand. This has been despite a sharp **dip** in **retail inflation**, which was down to 3.61% this February from 5.09% a year ago, with a low food inflation rate at 3.75%, the lowest in two years. This makes it almost certain that the government's wish for a Maha Kumbh-led spike in consumption has not **materialised**, **leading to the likelihood of** the Centre's 6.5% GDP growth target for the 2025 fiscal being missed. February's Index of Industrial Production (IIP) numbers co-relate with the 14-month low in the manufacturing Purchasing Manager's Index survey conducted by S&P at 56.3.

This **highlights** two things: the **trepidation** of manufacturers facing **unprecedented** global economic uncertainty **following** U.S. President Donald Trump's actions and the lack of an **appetite** among consumers, many of whom have witnessed the value of their assets **plummet** due to Indian stock **market volatility** that has **mirrored** the **peaks** and **troughs** in global exchanges. There have been **green shoots**, however. Within the manufacturing sector, which has the highest weightage of about 77% in the IIP, 14 of 23 industry groups recorded growth this February from a year ago. Growth was led by motor vehicles, trailers and semi-trailers (8.9%), non-metallic mineral products (8%) and basic metals (5.8%). **Capital goods** output **accelerated** to 8.2% from 1.7% last year, indicating **robust** investment demand **aided** by a massive rise in **government spending**. This was despite the **liquidity squeeze** in India's banking system by ₹1.7 trillion, as on February 20, due to the massive **flight** of foreign capital in search of **haven asset classes** and to **hedge** against a **depreciating** rupee. The central bank **stepped in** by **injecting** about ₹2.18 trillion into the banking system using rupee/dollar **swap arrangements** that ended on March 24. The Centre can **perhaps** take **solace** in the fact that despite a possibility of its growth target for the last fiscal being missed, **India remains** the fastest growing economy. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denote 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Halve** (verb) – reduce, decrease, diminish, cut, lessen आधा करना

2. **Broad-based** (adjective) – widespread, extensive, general, inclusive, comprehensive व्यापक

3. **Marginal** (adjective) – slight, minor, minimal, negligible, insignificant मामूली

4. **Witness** (verb) – observe, see, experience, undergo, record देखना / अनुभव करना

5. **Consumer durable** (noun) – Items purchased by consumers that have a long life span (typically more than 3 years) and do not wear out quickly.

6. **Contraction** (noun) – reduction, decline, shrinkage, downturn, compression संकुचन

7. **In a row** (phrase) – consecutively, successively, continuously, sequentially, without break लगातार

8. **Consumer non-durable** (noun) – Goods that are consumed or used up quickly after purchase and typically have a short life span (less than 3 years).

9. **Marked** (adjective) – noticeable, significant, distinct, evident, clear स्पष्ट / प्रमुख

10. **Dip** (noun) – drop, fall, decline, reduction, slump गिरावट

11. **Retail inflation** (noun) – The rise in the general price level of goods and services at the consumer level, measured by indices like the Consumer Price Index (CPI). It directly affects the cost of living.

12. **Materialise** (verb) – happen, occur, transpire, emerge, come to pass साकार होना

13. **Lead** (to) (verb) – result in, cause, bring about, give rise to, contribute to कारण बनना

14. **The likelihood of** (phrase) – possibility, probability, chance, feasibility, potential संभावना

15. **Highlight** (verb) – emphasize, underline, stress, showcase, point out जोर देना

16. **Trepidation** (noun) – fear, anxiety, nervousness, apprehension, dread घबराहट / डर

17. **Unprecedented** (adjective) – never before seen, extraordinary, unparalleled, exceptional, unheard-of अभूतपूर्व

18. **Following** (preposition) – after, subsequent to, ensuing, post, in the wake of के बाद

19. **Appetite** (noun) – desire, inclination, craving, interest, urge इच्छा / भूख

20. **Plummet** (noun) – plunge, crash, nosedive, sharp fall, tumble तेज गिरावट

21. **Market volatility** (noun) – The rate at which the price of securities (stocks, bonds, etc.) increases or decreases for a given set of returns. High volatility means prices fluctuate rapidly; low volatility means they remain relatively stable.

22. **Mirror** (verb) – reflect, imitate, resemble, replicate, echo प्रतिबिंबित करना

23. **Peak** (noun) – high point, summit, crest, climax, zenith शिखर

24. **Trough** (noun) – low point, bottom, valley, nadir, depression निम्नतम स्तर

25. **Green shoot** (noun) – early sign, positive indicator, initial recovery, hopeful development, revival sign पुनरुत्थान का संकेत

26. **Capital goods** (noun) – Physical assets used by companies to produce consumer goods and services. They are not finished goods but are used to make finished goods.

27. **Accelerate** (verb) – quicken, hasten, increase, boost, speed up तेजी लाना

28. **Robust** (adjective) – strong, solid, resilient, firm, vigorous मजबूत

29. **Aid** (verb) – help, assist, support, facilitate, promote सहायता करना

30. **Government spending** (noun) – public expenditure, state funding, fiscal outlay, budget allocation, administrative costs सरकारी खर्च

31. **Liquidity squeeze** (noun) – cash crunch, credit tightness, funding shortage, financial strain, money scarcity नकदी की तंगी

32. **Flight** (noun) – outflow, escape, withdrawal, exodus, movement किसी ख़तरनाक या कठिन स्थिति से दूर भागना

33. **Haven asset class** (noun) – Financial instruments or asset types that are considered safe during market turmoil or economic uncertainty.

34. **Hedge** (verb) – safeguard, protect, insure, shield, secure बचाव करना

35. **Depreciating** (adjective) – weakening, declining, falling, dropping, deteriorating मूल्यह्रास

36. **Step in** (phrasal verb) – intervene, intercede, act, mediate, interfere हस्तक्षेप करना

37. **Inject** (verb) – infuse, introduce, insert, supply, put in डालना / प्रवाहित करना

38. **Swap arrangement** (noun) – A financial agreement between two parties to exchange cash flows or currencies, usually to hedge risks or manage liquidity.

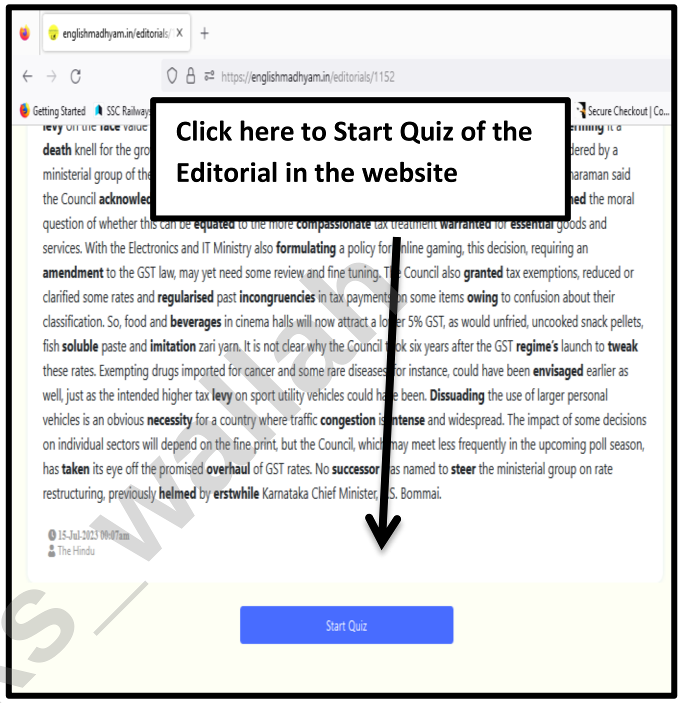
39. **Perhaps** (adverb) – maybe, possibly, conceivably, perchance, probably शायद

40. **Solace** (noun) – comfort, consolation, relief, support, reassurance सान्त्वना / दिलासा

Summary of the Editorial

1. **Industrial production growth** dropped to **2.9% in February**, marking a six-month low, significantly down from January's 5.2% and last February's 5.6%.
2. The decline in industrial production was **broad-based**, sparing only a marginal uptick in **power generation** at 3.6%, still lower than last year's 7.6%.
3. **Mining output** fell sharply to **1.6%** (from 8.1% last year), and **manufacturing** also slowed down to **2.9%** (from 4.9%).
4. **Consumer durables** output dropped drastically to **3.8%**, down from 12.6% a year ago.
5. **Consumer non-durables** contracted for the third consecutive month, declining by **2.1%** in February after a **3.2% fall in January**.
6. The continued production decline in consumer goods suggests a **weakening in overall consumption demand**.
7. This slowdown has occurred despite a **notable drop in retail inflation** to **3.61%**, aided by the lowest food inflation in two years at **3.75%**.
8. The government's expectations of a **Maha Kumbh-led consumption boost** have not been realised.
9. As a result, the Centre's **GDP growth target of 6.5%** for FY2025 is **unlikely to be achieved**.
10. The decline in IIP aligns with a **14-month low** in the **S&P Manufacturing PMI**, which fell to **56.3**.
11. **Global economic uncertainty**, triggered notably by U.S. President Donald Trump's actions, has led to **manufacturer caution**.
12. Additionally, **consumer sentiment is weak**, as stock market volatility has **eroded household wealth**.
13. Despite the overall slowdown, **14 of 23 manufacturing industry groups** saw year-on-year growth, showing **sectoral resilience**.
14. **Capital goods production** rose sharply to **8.2%**, driven by **government-led investment spending**, despite a liquidity crunch.
15. To address liquidity shortages caused by **foreign capital outflows** and a weakening rupee, the **RBI infused ₹2.18 trillion** into the system through **rupee/dollar swap arrangements**.

Practice Exercise: Banking Pattern Based



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